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Circular to Licensed Corporations and Associated Entities

Anti-Money Laundering / Combating Terrorist Financing

Enhancement of Website and
Obligation to Report Suspicious Transactions

Enhancement of website

As part of our ongoing efforts to help licensed corporations and associated entities comply with the Commission's anti-money laundering ("AML") and counter-financing of terrorism ("CFT") requirements, the Commission has substantially enhanced our AML/CFT website, which can be viewed at:

http://www.sfc.hk/sfc/html/EN/intermediaries/supervision/prevention/prevention.html

so as to provide a central reference to all AML/CFT related information and reference materials.

Besides providing easy access to the Prevention of Money Laundering and Terrorist Financing Guidance Note ("Guidance Note"), circulars and frequently asked questions issued by the Commission in this respect plus relevant legislation in Hong Kong, this new website also provide practical guidance and assistance to the industry by

(a) providing comprehensive training materials that are arranged in 9 modules, to serve as a useful tool kit for the industry, explaining both the broader AML/CFT environment as well as specific legislative and regulatory requirements.

One of the modules cites two real-life but sanitized cases to illustrate the potential use of the securities and futures sector in the money laundering process (details provided below); and

(b) attaching the AML/CFT self-assessment survey developed especially by the Commission for use by the industry based on the key requirements of the Guidance Note.

Licensed corporations and associated entities are encouraged to download the training materials and AML/CFT self-assessment survey at their leisure. In particular, firms are encouraged to complete the survey to help them track the progress they make towards meeting the Commission's expectations and identify and rectify any deficiencies at an early stage.

Identification and reporting of suspicious transactions

Case A

Having investigated into the suspicious transactions reported by some banks, the Joint Financial Intelligence Unit ("JFIU") found out that Company X (owned by Mr P) deposited a sum of about HK$7 million to Mr Y's bank account. Mr Y then purchased a cashier order and paid this into his account maintained with a stockbroker. Mr Y instructed the stockbroker to frequently buy and sell shares of just one listed company, namely Company N. The price of stock N rose by 270% in a few months' time and Mr Y's account balance increased to HK$18.6 million. Mr Y's transactions represented nearly two thirds of the turnover in the Company N's shares during the period. It was subsequently noted that the sale proceeds were paid back to Company X.

Although the stockstocker may not be able to track the detailed fund movement, the JFIU pointed out that the stockbroker should be able to identify the following irregularities and report the case to them:

(a) Mr Y seemed to open an account to trade specifically in the shares of Company N and the price of the stock rose dramatically during the period.

(b) The stockbroker should have found Mr Y's transaction pattern at odds with his background or business.

(c) Mr Y, reported to live in a public housing estate, would generally not be expected to deal in the large sum of money in his account.

Case B

In investigating a case of laundering the proceeds of organised crime by the use of illegal bookmaking, the Police found that some funds were traced to a stockbroker. Case B involved transferring profits from the illegal bookmaking from the bank account of the syndicate head's wife and sister-in-law to the share margin account of the syndicate head. Little or no trading occurred on the margin account and the funds were then withdrawn as cheques payable for cash and subsequently deposited into the personal bank account of the syndicate head.

Based on the above cases, LCs and AEs are reminded to pay attention to a number of key money laundering indicators:

(a) The trading volume or position of a client is not commensurate with his profile.

(b) There is an unusual pattern of transactions.

(c) There is an unusual settlement pattern where cheques are issued with no apparent reasons (i) in the form of cash cheques or (ii) to third parties, in particular to third parties which are susceptible to money laundering risk, such as casinos that handle large amounts of cash.

(d) A client deposited funds into the stockbroker's account and requested for repayment of funds within a short period of time with no apparent reasons. Also, no or only minimal securities transactions were recorded during the period and the amount of funds deposited was not in line with the client's profile.

To ensure compliance with the statutory and regulatory reporting requirements and to prevent your firms from being used by money launderers and terrorists, you are reminded to pay special attention to the key indicators of money laundering and terrorist financing activities (a detailed list of examples can be found in Appendix C(ii) of the Guidance Note) and remain vigilant in identifying and reporting suspicious transactions.

Should you have any queries regarding the contents of this circular, please contact Ms Kammy Kwok at 2840-9455.

Intermediaries Supervision Department
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Securities and Futures Commission